Four justifications for an active sleeve — required evidence and failure modes

Justification	What it requires	Typical cost	Primary failure mode
Expected return improvement	Identifiable return source not in core; net alpha after costs >	15–80bps management fee; turnover; tax drag	Factor exposure misidentified as alpha; fees exceed gross edge
Diversification	Low correlation to core in stress periods, not just in calm mar	50–150bps; operational complexity; monitoring burde	Calm-period correlation used; strategy fails in stress alongside
Capital efficiency	Achieves same exposure with less capital; frees room for othe	Financing cost; margin; roll cost for futures overlays	Leverage hidden; financing conditions change; margin called
Downside protection	Reduces core's dominant tail risk; may cost carry in calm regi	Premium / carry bleed; opportunity cost in trending n	Protection too expensive; hedge removes too much upside; timi